FRVO

FRVO N/A

Buy	$34.64 ▲ 4.75%	12M Price Target **$45.00**	52-Week Range $32.39 – $42.65	Market Cap $10.19B

FRVO: Reiterate Buy on Geothermal Scale-Up Conviction

WHAT'S CHANGED

- FRVO snapped a four-session slide (-11.2% from 6/5 close of $37.22 to 6/10 low of $33.07), bouncing +4.75% to $34.64 on lighter volume (1.62M vs 5-day avg ~2.0M), tracking a broad Technology/Industrials beta rally (+3.7%/+3.2%).
- Investing.com flagged bullish sell-side initiations (6/8) framing FRVO as a geothermal scale-up beneficiary, reinforcing the post-IPO narrative arc following the late-May WSJ "Hot IPO" feature.

IMPLICATIONS

No new material overnight filings; the thesis is unchanged. Monitor price action and sector rotation for near-term entry signals.

VALUATION

See key data table.

KEY RISKS

- Execution risk on Cape Station Phase II drilling—cost overruns or sub-target flow rates would impair the LCOE narrative underpinning hyperscaler PPAs.
- Concentrated customer exposure (Google, Southern California Edison) creates revenue cliff risk if any major offtake renegotiates.
- Low float (22% insider ownership, 18% institutional) drives elevated volatility; secondary offering overhang likely within 12 months to fund capex.

RECENT NEWS

Fervo draws bullish Wall Street initiations as analysts bet on geothermal scale-up
Investing.com · 2026-06-08 18:01

A Hot IPO Lifts Geothermal Power Companies The Wall Street Journal · 2026-05-25 21:17

Energy IPOs Are Back. The Winners Have One Thing In Common. Barrons.com · 2026-05-18 09:55

Assessing Fervo Energy's Valuation After Early Stage Losses And Recent Share Price Momentu… Simply Wall St. · 2026-05-17 21:14

Two Geothermal Stocks To Watch As Energy Demand Soars Investor's Business Daily · 2026-05-15 16:45

OPTIONS INTELLIGENCE

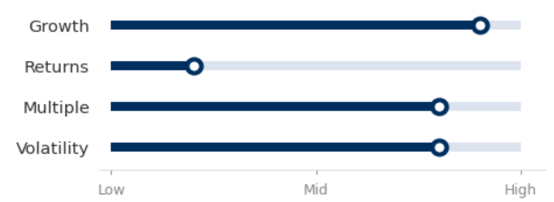
Put/Call Ratio	0.38
Call Vol / Put Vol	346 / 132
Flow Signal	BULLISH

Bullish flow: P/C ratio 0.38 with no strongly unusual contracts detected. Institutional positioning appears long-oriented.

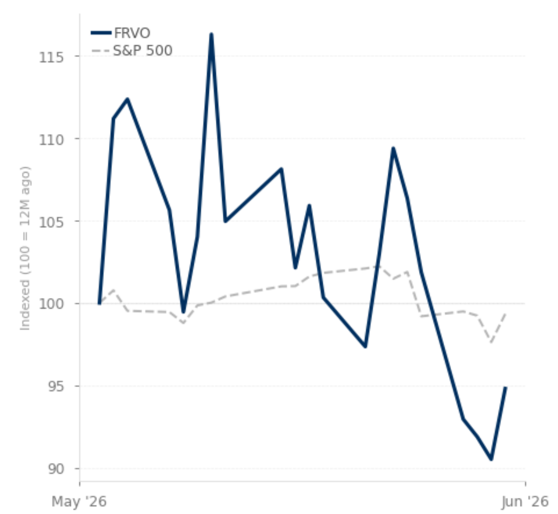
Key Data

Price (USD)	**$34.64**
12M Price Target	**$45.00**
Upside / (Downside)	**+29.9%**
Market Cap	**$10.19B**
FY2026E Revenue	**$215M**
FY2027E Revenue	**$410M**
FY2026E EPS	**($1.85)**
FY2027E EPS	**($1.20)**
Fwd P/E	**N/M**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



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PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$40.00**	$36.00	**$31.00**
6 Months	**$48.00**	$42.00	**$30.00**
1 Year	**$60.00**	$45.00	**$28.00**
2 Years	**$80.00**	$58.00	**$25.00**
5 Years	**$140.00**	$90.00	**$20.00**
10 Years	**$250.00**	$150.00	**$15.00**

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+3.73%), Materials (+3.27%)

COLD SECTORS: Healthcare (relative laggard +0.81%), Comm. Svcs (+1.00%)

ROTATION WATCH: Today's tape shows reflexive bounce in beta cyclicals after a -5% weekly Tech drawdown; if rate cuts get pulled forward, long-duration growth (including clean energy infra) becomes the highest-torque trade.

BYPRODUCT PLAY: AI data center power crunch lifts ancillaries—nuclear SMR developers, grid-scale storage, and HVDC transmission equipment vendors all benefit from the same baseload-scarcity thesis driving FRVO.

OUTPERFORMERS & PEER CONTEXT

- OKLO (Oklo Inc.): Advanced nuclear peer up materially YTD on similar AI-baseload thesis, commanding premium EV/Revenue despite earlier commercialization stage.
- VST (Vistra Corp.): Existing nuclear/gas IPP outperforming utilities sector on Microsoft/AWS PPA optionality—the proof-of-concept for power-as-AI-infrastructure.

FRVO CONTEXT: FRVO is currently lagging the broader AI-power cohort, sitting at 22% of 52-week range while peers consolidate near highs. This suggests either rotation opportunity for patient capital or that the market is discounting near-term execution risk versus more de-risked operators.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: $33-35 on continued consolidation

Time Horizon: 12-24 months

Thesis Invalidation: Cape Station Phase II delays >6 months or PPA pricing erosion below $80/MWh

Hedging: Pair against high-multiple solar/wind IPP or short XLU on rate-cut delays